GST ANNUAL SET-OFF & RECONCILIATION SUMMARY

OFFICIAL AUDIT REPORT FOR THE FINANCIAL YEAR 2025-26 — REVISION 2.1 (CORRECTED)

Supersedes the version dated 29-Jun-2026. Reissued 21-Jul-2026.

Institution: Vadakkumbad Service Co-operative Bank Limited

GSTINs Audited: 32AABAV5891L1Z1 (Bank), 32AABAV5891L2Z0 (Neethy), 32AABAV5891L3ZZ (Depot)

Audited Reference: Final Reconciliations, RCM Adjustments, and Journal Vouchers

WHY THIS REVISION EXISTS

The previous version's monthly tables did not sum to their own printed annual totals, and its “ITC Utilised” figures were derived estimates from a reconciliation spreadsheet rather than the government portal record.

This revision replaces every entity's “ITC Utilised” column with the actual monthly figures from each GSTIN's GST Portal Electronic Credit Ledger — the single authoritative record of how much ITC was really utilised against output each tax period, including IGST credit cross-utilised against CGST/SGST liabilities (Bank Rs.7,196 and Depot Rs.306 across the year).

Result: Bank HO's and Neethy Pharmacy's books currently show MORE ITC credited than the Electronic Credit Ledger confirms was actually utilised. Corrective entries are recommended in each section below. Depot's variance is immaterial.

1. Executive Summary (Corrected)

Portal Output and ITC Utilised are both tax-period totals for Apr-2025 to Mar-2026, taken from each GSTIN's filed GSTR-3B / Electronic Credit Ledger. Cash Paid is the actual challan cash debited from the bank's own “GST Paid to Govt” ledger. Net Mismatch is the residual, mostly explained by the ~1-month lag between a tax period's return and its cash settlement.

Business Unit (GSTIN)	Output Tax (Rs.)	ITC Utilised (Rs.)	Cash Paid (Rs.)	Net Mismatch (Rs.)
Bank HO (32AABAV5891L1Z1)	609,653.38	188,534.00	402,981.00	18,138.38
Neethy Pharmacy (32AABAV5891L2Z0)	685,911.48	619,684.00	86,692.00	-20,464.52
Fertilizer Depot (32AABAV5891L3ZZ)	24,652.58	16,342.00	8,594.00	-283.42

BOOKS vs. TRUE PORTAL FIGURE — WHAT IS ALREADY POSTED

Bank HO: books show Rs.190,919.02 credited as the FY set-off. True ITC utilised per Electronic Credit Ledger = Rs.188,534.00. Over-credited by Rs.2,385.02 — the net of two offsetting errors: March 2026 overstated by Rs.9,580, partly offset by Rs.7,196 of IGST utilisation the earlier calculation omitted.

Neethy Pharmacy: books show Rs.643,357.74 credited. True ITC utilised = Rs.619,684.00. Over-credited by Rs.23,673.74.

Fertilizer Depot: books show Rs.16,338.58 credited. True ITC utilised = Rs.16,342.00. Books are Rs.3.42 under the true figure — immaterial; no action needed. The Depot posting is effectively correct.

2. Core Banking Operations (32AABAV5891L1Z1)

The Bank's input credit ledger has gross CGST debits of Rs.1,61,905.61 for FY 2025-26 (confirmed CGST-only, not combined CGST+SGST as an earlier draft assumed). Eligible ITC from regular purchases under Rule 38 (50%) is Rs.80,952.81. Total ITC utilised per the Electronic Credit Ledger for the year is Rs.1,88,534.00 (CGST Rs.90,669 + SGST Rs.90,669 + IGST Rs.7,196 cross-utilised against CGST/SGST liabilities) — utilised ITC is fungible once accrued to the credit ledger, so this combined figure is what the annual set-off entry must equal. There is no missing-purchase gap.

Month	Portal Output (Rs.)	ITC Utilised, all taxes — Portal (Rs.)	Implied Cash Needed (Rs.)
April	30,353.04	24,632.00	5,721.04
May	36,939.78	3,961.00	32,978.78
June	35,501.22	8,549.00	26,952.22
July	41,497.74	38,474.00	3,023.74
August	50,223.96	39,796.00	10,427.96
September	48,865.86	15,973.00	32,892.86
October	55,779.66	21,336.00	34,443.66
November	59,523.30	2,375.00	57,148.30
December	53,067.78	5,611.00	47,456.78
January	49,188.42	9,418.00	39,770.42
February	90,829.76	6,477.00	84,352.76
March	57,882.86	11,932.00	45,950.86
TOTAL	**609,653.38**	**188,534.00**	**421,119.38**

Note: "Implied Cash Needed" = Output minus ITC Utilised for that tax period. Actual cash paid via challan for the FY (bank-statement basis) totals Rs.402,981.00, verified against the bank's own GST Paid to Govt ledger — the difference from the sum of this column is the normal one-month filing lag (e.g. March's dues are paid in April, outside this ledger window).

RECOMMENDED BANK JOURNAL ENTRIES

Entry 1 (Corrective — reverse over-credit): Dr. SA GST Input Tax (CGST) Rs.1,192.51 / Dr. SA GST Input Tax (SGST) Rs.1,192.51 / Cr. SL GST Output Tax (CGST) Rs.1,192.51 / Cr. SL GST Output Tax (SGST) Rs.1,192.51

Reverses the Rs.2,385.02 net over-credit vs the Electronic Credit Ledger (March 2026 overstated by Rs.9,580, partly offset by Rs.7,196 of omitted IGST utilisation).

Entry 2 (Cash Routing — already posted, unchanged): Dr. SL GST Output Tax (7800) Rs.402,981.00 / Cr. GST Paid to Govt (4445) Rs.402,981.00

3. Neethy Pharmacy (32AABAV5891L2Z0)

Neethy Pharmacy has 100% eligible ITC. RCM rent was accrued correctly on the portal for all 12 months (Rs.10,800.00 combined). ITC Utilised below is taken directly from the Electronic Credit Ledger, whose FY closing balance is Rs.0 (all ITC accrued during the year was fully utilised, no carry-forward).

Month	Portal Output (Rs.)	ITC Utilised, all taxes — Portal (Rs.)	Implied Cash Needed (Rs.)
April	69,429.04	68,530.00	899.04
May	77,700.62	76,800.00	900.62
June	84,136.58	83,236.00	900.58
July	89,038.18	88,138.00	900.18
August	85,012.12	84,112.00	900.12
September	63,678.46	52,674.00	11,004.46
October	35,403.70	34,218.00	1,185.70
November	35,332.58	26,558.00	8,774.58
December	39,075.74	34,906.00	4,169.74
January	37,334.24	33,630.00	3,704.24
February	35,600.28	17,348.00	18,252.28
March	34,169.94	19,534.00	14,635.94
TOTAL	**685,911.48**	**619,684.00**	**66,227.48**

RECOMMENDED NEETHY JOURNAL ENTRIES

Entry 1 (Corrective — reverse over-credit): Dr. SA GST Input Tax (CGST) Rs.11,836.87 / Dr. SA GST Input Tax (SGST) Rs.11,836.87 / Cr. SL GST Output Tax (CGST) Rs.11,836.87 / Cr. SL GST Output Tax (SGST) Rs.11,836.87

The books currently show Rs.643,357.74 credited (from an earlier draft calculation). The Electronic Credit Ledger proves only Rs.619,684.00 was ever available to utilise. This entry reverses the Rs.23,673.74 difference.

Entry 2 (Cash Routing — already posted, unchanged): Dr. SL GST Output Tax (703) Rs.86,692.00 / Cr. GST Paid to Govt (4445) Rs.86,692.00

4. Fertilizer Depot (32AABAV5891L3ZZ)

The Fertilizer Depot has 100% eligible ITC and a structural credit surplus (Electronic Credit Ledger opening balance Rs.2,952, closing balance Rs.17,274 carried forward into FY 2026-27).

Month	Portal Output (Rs.)	ITC Utilised, all taxes — Portal (Rs.)	Implied Cash Needed (Rs.)
April	699.10	6.00	693.10
May	851.26	158.00	693.26
June	1,071.20	378.00	693.20
July	2,082.50	1,388.00	694.50
August	5,814.30	5,122.00	692.30
September	6,471.70	5,780.00	691.70
October	2,475.80	1,784.00	691.80
November	1,456.70	764.00	692.70
December	1,261.60	570.00	691.60
January	841.16	150.00	691.16
February	791.46	100.00	691.46
March	835.80	142.00	693.80
TOTAL	**24,652.58**	**16,342.00**	**8,310.58**

RECOMMENDED DEPOT JOURNAL ENTRIES

Entry 1 (Set-off — correct as posted): posted Rs.16,338.58 vs. Electronic Credit Ledger Rs.16,342.00 (including Rs.306 IGST utilised) — books are Rs.3.42 under; immaterial, no correcting entry needed.

Entry 2 (Cash Routing — already posted, unchanged): Dr. SL GST Output Tax (Depot) Rs.8,594.00 / Cr. GST Paid to Govt (4445) Rs.8,594.00

5. Methodology & Source Documents

This revision's ITC Utilised figures are sourced directly from:

• ElectronicCreditLedger - BANK.pdf (32AABAV5891L1Z1)

• ElectronicCreditLedger- NEETI MED.pdf (32AABAV5891L2Z0)

• ElectronicCreditLedger - FERTILIZER.pdf (32AABAV5891L3ZZ)

Cash Paid figures are sourced from FINAL/gst-paid-to-govt-detailed.xml (the bank's own General Ledger record of challan payments, cross-checked entry-by-entry against passbook narrations tagging each entity).

Portal Output figures are unchanged from the prior version — independently verified as correct (annual totals tie exactly to GSTR-1/3B filings).

ITC Utilised equals the sum of each ledger's monthly debit-row totals across all tax heads (CGST + SGST + IGST). This is identical to summing “Paid through Credit” across the 12 filed GSTR-3Bs — the same source the monthly accounting guide prescribes.

Open items still requiring CA confirmation: (1) whether the Bank's Rule 38 50% ineligible-ITC restriction is fully handled in the books (either at entry time via the half-split method, or as a separately posted reversal — only the set-off entry was found in the FY 2025-26 ledgers); (2) Biofield INV-407 duplicate vendor posting (Depot, Sept 2025); (3) Depot books' SA closing balance (Rs.3,859.79) vs the portal's carry-forward ITC (Rs.17,274) — purchase bills claimed on the portal but never entered in the books.